

FUND BALANCE

Financial statements report up to five separate categories of fund balance based on Governmental Accounting Standards. The purpose of this regulation is to provide guidelines when establishing an appropriate level of fund balance through budgeting, analytic and accounting protocols for developing and reporting fund balance in alignment with Governmental Accounting Standards.

A. Appropriate Level. Fund balance is intended to serve as a measure of the financial resources available in a governmental fund. Governmental Accounting Standards recommend a minimum of no less than two months of annual operating expenditures. Loudoun County Public Schools (LCPS) follows this standard, except for funds that may require a level of fund balance different from the recommended minimum level based on legal requirements or recommended best practices.

1. General Fund. Fund balance to support subsequent years' appropriations as requested in the School Board's Adopted Budget.

2. School Nutrition Fund. Fund balance is recommended to be no less than two months of annual operating expenditures and not to exceed three months average annual operating expenditures.

3. Self-Insurance Funds. Fund balance no less than two months of annual claims expenditures.

If fund balance generated through the normal course of operations is outside the recommended amount, subsequent budget development cycle(s) will include a plan to meet the standards set above.

B. Use of Fund Balance. Usage of unassigned and unrestricted fund balances must be in accordance with the following requirements.

1. General Fund. Usage requires School Board approval, subject to Board of Supervisor appropriation.

2. School Nutrition Fund. Usage of fund balance in excess of the three months' average annual operating expenditures must be submitted and approved as a spend-down plan to the Virginia Department of Education's Office of School Nutrition Programs and adhere to federal regulations.

3. Self-Insurance Fund. Usage requires School Board approval.

C. Prioritization of Fund Balance Use. The following hierarchy, based primarily on the extent to which LCPS is bound to observe constraints imposed upon the use of the resources reported in governmental funds, must be followed.

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1. General Fund. When an expenditure is incurred for programs supported through the Governmental Funds classification, the General Fund, and a Special Revenue Fund, the priority is to utilize the Special Revenue Fund before utilizing the General Operating Fund.
2. School Nutrition Fund. When an expenditure is incurred for the School Nutrition Fund, the priority is to utilize the federal funds first, then state funds, local and other sources last.

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